Management

Marketing

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Assessment Criteria

- Final Exam – Case study + 3 Questions
- Project
  - Select a Company
  - Study the Industry Sector
  - Study the Company
  - Study the Competitors
  - Develop a Business/Marketing Strategy for the Company
- Formal Business Report – 20%
- 20 mnt Presentation – 20%

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Analyzing the External Environment

PEST Analysis
- Political
- Economical
- Social
- Technological

SWOT Analysis
- Strengths
- Weaknesses
- Opportunities
- Threats

Porter's Forces
- New Entrants
- Suppliers
- Customers
- Competition
- Substitutes

Definition of Marketing

Marketing is a management process which is responsible for identifying, anticipating and satisfying customer wants at a profit.
- Charted Institute of Marketing U.K

Marketing Management is the process of planning and executing the conception, pricing, promotion and distribution of ideas, goods, services to create exchanges that satisfy individual and organisational goals.
- American Marketing Association

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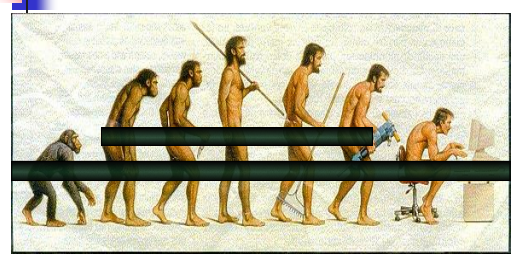
Do you remember when there was just one type of toothpaste?

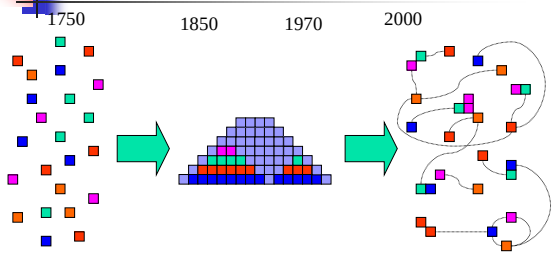
- 10 years ago – You would select from a few major brands or a generic brand or two.
- Today there are several brands and different versions
  - whitening toothpaste,
  - toothpaste with Fluoride,
  - different flavors (vanilla, cinnamon, mint, lemon, etc
  - toothpaste for kids and adults,
  - toothpaste for cavity protection,
  - Toothpaste for fresh breath,
  - tartar control,
  - sensitive teeth toothpaste,
  - gels, herbal, sweet,
  - striped (mixed gel and paste),
  - and endless combinations of all-of-the-above.

Makes putting
toothpaste on
toothbrush easy

Evolution!



Social Transformation



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Evolution of Concepts of Marketing

- Production Concept
- Product Concept
- Selling Concept
- Marketing Concept
- Societal Marketing Concept

The Production Concept

The production concept holds that consumers will prefer products that are widely available and inexpensive.

They try to achieve high production efficiency, low costs and mass distribution

Eg: Medical & Dental products

Issues: Impersonal and poor quality service

The Product Concept

The product concept holds that consumers will favour those products that offer the most quality, performance or innovative features.

Focus on making superior products and can appraise quality and performance

Issues: Might get caught in quality issues without realising that the customer doesn't need them

The Selling Concept

The selling concept holds that consumers and businesses, if left alone, will not buy enough of the organisation's products. The organisation must therefore, undertake an aggressive selling and promotion effort.

Eg: Insurance and political parties

Issues: The aim is to sell what they make rather than make what the market wants.

The Marketing Concept

The marketing concept holds that the key to achieving its organisational goals consist of the company being more effective than competitors in creating, delivering and communicating consumer value to it's target markets.

"Putting People First", "Meeting needs profitably"

The Marketing Concept

The Selling concept

Factory → Products → Selling/promoting →Profits thru sales

The Marketing concept

Target Mkt → Cust. needs → Marketing → Profits thru Cust. Satisfaction

Societal Marketing Concept

The Societal Marketing concept holds that the organisation's task is to determine the needs, wants, and interests of target markets and to deliver the desired satisfactions more effectively and efficiently than the competitors in a way that preserves or enhances the consumer's and the society's well being.

Demand States

- Negative demand
- No demand
- Latent demand
- Declining demand
- Irregular demand
- Full demand
- Overfull demand
- Unwholesome demand

Market Research

Market research is

- ***the process of defining a marketing problem & opportunity,***
- **systematically *collecting* and *analyzing* information**
- **& *recommending* actions to increase an organization marketing activities.**

Need for market research

- ✓ **To find out the market share for existing products of a company**
- ✓ **To find out the market potential for a product which the organization hopes to launch in the future**
- ✓ **To understand competitor behavior**
- ✓ **To understand how consumer's needs and wants are changing**
- ✓ **To understand business trends and market trends**

Types of marketing Research

Product Research

- ✓ **Customer acceptance of new products and existing products**
- ✓ **Comparison with competitor products and features**

Marketing research

- ✓ **Analysis of market potential for existing product**
- ✓ **Forecasting demand ,sales for products**
- ✓ **Study of market trends, characteristics of marketing**

Types of marketing Research

Price research

- Analysis of elasticity of demand
- Analysis of costs and profit margins

Sales promotion research

- Analysis of effectiveness of salesman other sales promotion methods and other methods

Distribution research

- The location and design of distribution centers
- Analysis of packing for transportation and shelving

Benefits of marketing research

- Make better marketing and financial decision making
- Better understand customer expectations so better satisfy them better
- Correct position of products
- Understand competitor activities and be better prepared
- Ability to adapt to change in the macro environment

Characteristic of good market research

- Well structured
- Scientific methods applied
- Creativity and innovation used to solve research problem
- Multiple methods been used
- Ethical marketing

Research process

- Defining the problem
- Locating the problem
- Design the research
- Analyzing
- Reporting the findings to the management

Developing Marketing Strategies

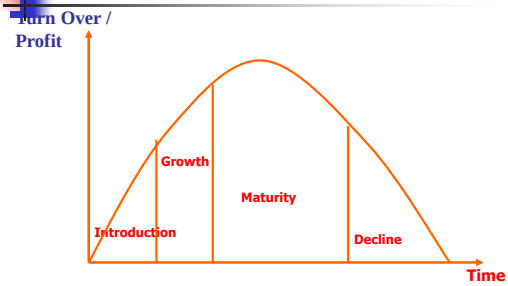
The Marketing Mix

Definition :

The set of controllable variables and their levels that the firm uses to influence the target market.

- Phillip Kotler

Product Life Cycle



4 stages of the product life cycle

- Introduction
- Growth
- Maturity
- Decline

Introduction

- Demand is low
- Heavy expenditure in introducing product
- High prices can be charged
- Only a limited distribution exists
- Single or limited product range

Growth

- Demand for the product builds
- Product design improves
- Advertising & sales promotion are still important
- The distribution network expands
- Competition between rival producers intensifies
- The range of products widen
- The marketing focus switches to seeking to differentiate the firm's product and brand
- Prices fall; profits improve

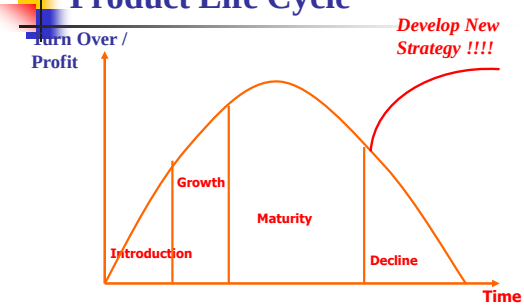
Maturity

- Longest stage in the life cycle of most successful products
- Purchases settle down
- Demand has reached a limit
- In general prices fall
- A good distribution network exists
- Further advertising, product design changes

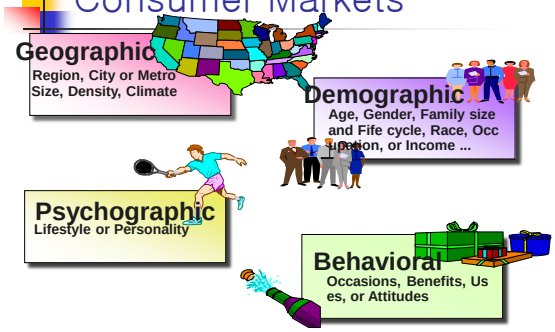
Decline

- The product declines as superior substitutes replace it
- Sharp profit reductions
- Many firms will have already found alternative industries (or exit)
- Demand, price starts to fall
- The product disappears from the market

Product Life Cycle



Bases for Segmenting Consumer Markets



For physical goods - 4 P's
For services - 7 P's

1. Product
2. Price
3. Place
4. Promotion
5. People
6. Processes
7. Physical evidence

Do you remember when there was i toothpaste ?

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  - striped (m
  - and endless co above.

The Ansoff matrix

		PRODUCTS	
		Existing	New
MARKETS/ CUSTOMERS	Existing	BUSINESS DEVELOPMENT	PRODUCT DEVELOPMENT
	New	MARKET DEVELOPMENT	DIVERSIFICATION

The Ansoff Matrix

- Market Penetration – Increase sales in the existing Market
- Market Development – Existing Products sold to new Markets
- Product Development – New product developed for existing Markets
- Diversification – New Products sold in new markets

Ansoff Matrix for Soap

•**Market Penetration**:
•**Objective**: Increase market share in existing markets with current soap products.
•**Strategies**:
•**Enhance Marketing Efforts**: Increase advertising and promotions to attract more customers.
•**Improve Distribution**: Expand distribution channels or increase the presence in existing retail outlets.
•**Loyalty Programs**: Implement customer loyalty programs to encourage repeat purchases.
•**Pricing Strategies**: Introduce discounts or bundle offers to attract more customers.

•**Market Development**:
•**Objective**: Enter new markets with existing soap products.
•**Strategies**:
•**Geographic Expansion**: Introduce products into new regional or international markets.
•**Target New Customer Segments**: Market the soap products to different demographics or consumer groups (e.g., targeting a premium market segment with higher-end products).
•**New Sales Channels**: Explore new retail channels, such as online sales platforms, specialty stores, or direct-to-consumer approaches.

Ansoff Matrix for Soap

•**Product Development**:
•**Objective**: Develop new soap products for existing markets.
•**Strategies**:
•**New Variants**: Introduce new soap variants or formulations, such as organic, hypoallergenic, or specialty soaps (e.g., anti-aging or moisturizing).
•**Product Line Extensions**: Add complementary products like body washes, exfoliating scrubs, or shampoo bars.
•**Innovative Features**: Develop products with unique features or benefits, such as eco-friendly packaging or enhanced skin benefits.

•**Diversification**:
•**Objective**: Enter new markets with new soap products.
•**Strategies**:
•**Develop New Product Lines**: Create entirely new products beyond traditional soap, such as skincare or personal care items.
•**Explore New Markets**: Enter markets where the company currently has no presence, potentially including different industries or demographics.
•**Acquire or Partner**: Consider acquiring other companies or forming partnerships to gain access to new product lines or markets.

Product

- Features and Benefits
- Accessories
- Product quality & durability
- Product design
- Brand name and Logo
- Packaging
- Product range
- After sales service
- Guarantees & warranties

Product Strategy

- **Product Development:**
  - Idea Generation: Identify potential product ideas through brainstorming, cu stomer feedback, market research, and industry trends.
  - Idea Screening: Evaluate and prioritize ideas to determine which ones are f easible, aligned with the company's goals, and have the potential for succes s.
  - Concept Development and Testing: Develop detailed concepts for selected ideas and test them with target customers to gather feedback and refine the concept.
- **Product Features and Benefits:**
  - Define the unique features and attributes that make your product stand out from competitors.
  - Focus on the benefits that customers will derive from using the product. H ow does it solve their problems or fulfill their needs?

Product Strategy

- **Product Design and Quality:**
  - Design the product with user experience and aesthetics in mind. A well-desi gned product can enhance its perceived value.
  - Ensure the product meets high quality standards. Quality plays a significant role in customer satisfaction and brand reputation.
- **Branding:**
  - Develop a strong and distinctive brand identity for the product. This include s the product name, logo, tagline, and overall brand personality.
  - Branding helps create a recognizable and memorable presence in the market .
- **Product Lifecycle Management:**
  - Consider where the product stands in its lifecycle: introduction, growth, mat urity, or decline.
  - Implement strategies appropriate for the current lifecycle stage. For instance , launch campaigns during the introduction phase and rejuvenation efforts d uring the maturity phase.

Product Strategy

- **Packaging and Presentation:**
  - Design packaging that aligns with the brand and product positioning. Pack aging serves both functional and aesthetic purposes.
  - Consider how the packaging can communicate product information and b enefits to customers.
- **Product Extensions and Variations:**
  - Explore opportunities to extend the product line by introducing related pro ducts or variations.
  - This can help cater to different customer preferences and increase market share.
- **Product Positioning:**
  - Determine how you want the product to be perceived by customers in rela tion to competing products.
  - Positioning influences the messaging, target audience, and marketing chan nels used for the product.

Price

- Suggested retail price
- Price discrimination
- Bundling
- Price flexibility
- Discounts
- Allowances
- Payment terms
- Credit policy

Pricing Strategies

- **Philip Kotler identified 9 price-quality strategies**

	High Price		Low Price
High Quality	Premium	High Value	Super Value
	Over Charging	Mid Value	Good Value
Low Quality	Rip-off	False Economy	Economy

Pricing Strategy ?

Pricing – Price can have different meanings for manufacturers, retailers or purchasers. Price tells the manufacturer or retailer how much profit he can make, while it tells the purchaser what the cost will be to him. Price is also a signal to buyer in terms of quality.

Loss-leader pricing

- Less-than-normal margin on an item is taken to increase customer traffic
- should be well-known, frequently purchased items
- Assumes customers will come to buy the "leaders" and will also purchase regularly priced items

Odd-ending prices

- Also known as the Psychological pricing
- Price is set just below the round figure, such as Rs. 99.99
- might not be suitable in some markets

  (eg:- Farmers' Market)

Quantity discount pricing

- is given to encourage customers to buy in larger amounts
- Rs.13.00 each and three for Rs. 35.00
- More sales

Volume pricing

- Rather than selling a single item for Rs.25.00, two are priced for Rs.48.00 or Rs.50.00.
- no real discount is given to customers.

Cumulative pricing

- Price discount is given based on the total volume purchased over a period of time.
- The discount usually increases as the quantity purchased increases
- Has a promotional impact eg. Customer loyalty cards.

Cash discount

- Is given to buyers who pay their bills within a specified period of time to encourage prompt payment.

Price-lining

- Limited number of prices for the Product
- Reflects varying product quality or product lines.
- Sell top quality produce at a premium price and an “economy line”
- make shopping easier for consumers and sellers because of fewer prices to consider and handle.

Single-pricing

- Charges customers the same price for all items
- Items are packaged in different volume s based on the single price
- Able to avoid employee error and facilitate the speed of transactions.

Seasonal Discount

- Used to induce buyers to purchase at the end of the season or during off-season.

eg:- Mid year stock clearance sales

Price Skimming

- Initially price is set at the highest possible value.
- To recover the cost quickly.
- Price is reduced as the competition buildup.
- Focuses on unique products.

Penetration Pricing

- Charging a low price when entering the market to capture market share
- Sell more earn more.
- Use in competitive market

Promotions

© Coca-Cola Ltd.

- **Promotional strategy**
- **Advertising**
- **Personal selling**
- **Sales promotions**
- **Public relations and Publicity**
- **Promotional budgets**

Promotional Strategy

- **Advertising:** This involves paid communication through various media c hannels such as television, radio, print, online platforms, social media, & more. The goal is to reach a wide audience and create brand visibility.
- **Public Relations (PR):** PR activities focus on building and maintaining a positive image for the company or brand. This includes media relations, press releases, events, and managing public perception.
- **Sales Promotions:** Short-term incentives or offers are used to encourage immediate purchases. Examples include discounts, coupons, buy-one-get -one (BOGO) deals, contests, and giveaways.
- **Personal Selling:** This involves direct interaction between sales represen tatives and potential customers. It's particularly effective for complex pro ducts or services where personal explanations and demonstrations are nec essary.

Promotional Strategy

- **Direct Marketing:** Communicating directly with individual customers using methods like email marketing, direct mail, telemarketing, and SM S campaigns. This approach allows for personalized and targeted messa ging.
- **Content Marketing:** Creating valuable and relevant content, such as blog posts, videos, and ebooks, to attract and engage the target audience . The goal is to establish the company as an industry authority.
- **Social Media Marketing:** Utilizing social media platforms to connect with the audience, share content, and engage in conversations. Social m edia helps in building brand loyalty & connecting on a personal level.
- **Influencer Marketing:** Collaborating with individuals who have a signi ficant following or influence in a specific niche to promote products or services.

Promotional Strategy

- **Event Marketing:** Hosting or participating in events, trade shows, sem inars, workshops, and conferences to showcase products and services, network, and engage with potential customers face-to-face.
- **Cause Marketing:** Aligning the brand with a social or environmental cause to demonstrate a commitment to societal well-being. This can create a positive brand image and resonate with socially conscious consumers.
- **Loyalty Programs:** Rewarding loyal customers with exclusive offers, discounts, & perks to encourage repeat business & foster brand loyalty.
- **Word-of-Mouth Marketing:** Encouraging satisfied customers to spre ad positive word-of-mouth about the brand through reviews, testimonials, and recommendations to their peers.

Place

Inventory management
Distribution channels
Market coverage
Types of transportation
Location of sales outlets
Arrangements of sales areas
Stock levels
Warehouse locations

Place Strategy

- **Channel Selection:** Businesses must decide on the most suitable distribution channels to reach their target market. Channels can include direct sales, whole salers, retailers, online platforms, and more. The choice of channels depends on factors such as product nature, target audience, & the company's resources
- **Channel Partnerships:** Building relationships with distributors, wholesalers, retailers, and other intermediaries is essential. These partners help extend the reach of the product and provide local market expertise.
- **Physical Distribution:** This involves managing the movement of products fro m the manufacturer to the consumer. It includes decisions about inventory ma nagement, transportation, warehousing, order processing, and logistics.
- **Retailer Selection:** If a business uses retailers to sell its products, it must care fully choose the right retail partners that align with its brand & target audience . Factors like location, reputation, and customer base are important considerations.

Place Strategy

- **Online Distribution:** With the rise of e-commerce, businesses need to consid er their online distribution strategy. This may involve selling through their ow n website, third-party e-commerce platforms, or a combination of both.
- **Geographic Expansion:** Depending on the company's growth goals, it might need to expand its distribution to new geographic regions or markets. This could involve entering international markets or targeting different regions within a country.
- **Exclusive vs. Intensive Distribution:** Businesses need to determine whether they want their products to be available everywhere (intensive distribution) or only through selected outlets (exclusive distribution). The choice depends on factors like product exclusivity, target audience, and branding strategy.
- **Inventory Management:** Efficiently managing inventory levels is crucial to avoid stockouts or overstock situations. Advanced inventory management syst ems can help optimize stock levels based on demand forecasts.

Place Strategy

- **Point-of-Sale Displays:** If products are sold through physical retail location s, well-designed and strategically placed point-of-sale displays can attract at tention and encourage impulse purchases.
- **E-commerce Fulfillment:** For online sales, ensuring prompt order processi ng, accurate shipping, and hassle-free returns are crucial for maintaining customer satisfaction.
- **Direct Sales:** Some companies choose to sell directly to customers through t heir own sales force or online platform. This can offer more control over the customer experience and brand messaging.
- **Supply Chain Efficiency:** Streamlining the supply chain and minimizing bottlenecks can help reduce costs and improve product availability.

The extended marketing mix

People

Human elements involved in the marketing process, both within the company and in relation to customers.

People are important ingredient in the marketing mix and its environment.

People Strategy

- **Internal People:** The employees within the organization who interact with customers or contribute to the marketing efforts. Their knowledge, skills, attitude, and behavior can greatly impact customer satisfaction and brand perception.
- **Customer Service:** The interactions between customers and the company's employees play a crucial role in shaping the customer experience. Friendly, knowledgeable, and helpful staff can enhance customer satisfaction and loyalty.
- **Sales Force:** The sales team, whether in-house or external, has a direct impact on how products are presented to customers. They provide information, answer questions, and help customers make purchasing decisions.

People Strategy

- **Training and Development:** Providing proper training to employees who interact with customers ensures they have the knowledge & skills needed to represent the company effectively and provide excellent customer service.
- **Cultural Considerations:** Understanding the cultural diversity o f both employees and customers is important, especially in global markets. Cultural sensitivity can enhance communication and build stronger customer relationships.
- **Brand Ambassadors:** Some businesses employ brand ambassadors or influencers to represent their products and connect with their target audience on a more personal level.

Process : Try to manage variability to person to person

- **Market Segmentation and Targeting:**
  - Divide your target market into smaller segments based on shar ed characteristics, behaviors, or preferences.
  - Choose the most promising segments to focus on (target segm ents) and tailor your marketing efforts to meet their specific ne eds.
- **Positioning and Differentiation:**
  - Determine how you want your brand, product, or service to be perceived by your target audience.
  - Identify your unique value proposition (UVP) and communica te how your offering stands out from competitors.

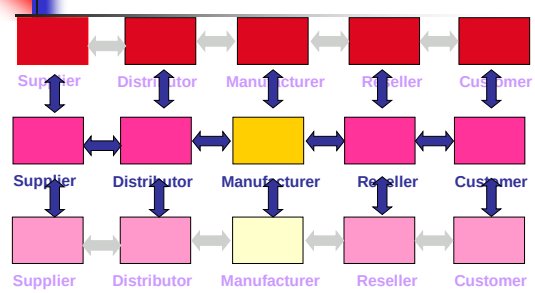
Physical evidence : Tangible evidence of purchase and physical environment which surrounded the purchase.

- **Service Environment:** The physical surroundings where the service is delivere d, such as retail stores, offices, hotels, restaurants, and facilities. The ambiance, cleanliness, layout, and decor contribute to the overall customer experience.
- **Facilities and Equipment:** The tools, machines, and equipment used to deliver the service. Well-maintained and modern equipment can enhance the perceptio n of quality and efficiency.
- **Layout and Design:** The arrangement of physical elements within a service sp ace, such as the seating arrangement in a restaurant, the layout of a retail store, or the navigation of a website.
- **Employee Appearance:** The attire and grooming of employees can influence c ustomer perceptions. Uniforms, name tags, and professional appearance contrib ute to the credibility and professionalism of the service provider.

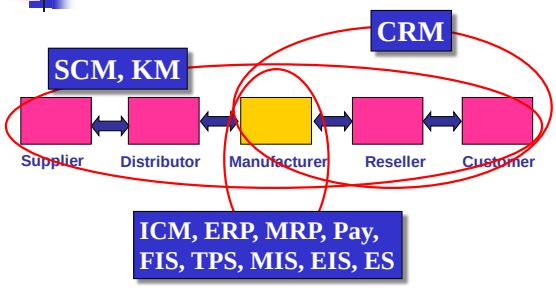
Physical evidence : Tangible evidence of purchase and physical environment which surrounded the purchase.

- **Communication Materials:** Brochures, signage, banners, and other visual mat erials provide information about the service, its features, benefits, and pricing. These materials should be clear, accurate, and consistent with the brand.
- **Branding Elements:** Logos, color schemes, and other branding elements that h elp customers recognize and connect with the service provider.
- **Customer Testimonials and Reviews:** Positive feedback from previous custo mers serves as a form of physical evidence, especially in the digital age where o nline reviews and ratings are easily accessible.
- **Packaging:** For service-related products, packaging can be considered a form o f physical evidence. It reflects the professionalism and attention to detail of the service provider.
- **Physical Receipts or Confirmations:** Providing customers with physical proof of their purchase or booking, such as receipts, tickets, or order confirmations.

The Business World!!



Business Information Systems



IT and Marketing

Advantages of using IT for Marketing

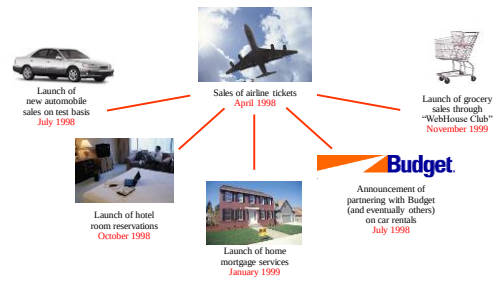
- **Speed of communication**
- **Wider access to information**
- **Global communication**
- **Interactivity and multimedia**
- **Personalization**

Market Makers: eMarketplaces – Auctions

- Puts buyer in control
- Establishing a "pure mar ket price"
  - Sell-side auction
  - Buy-side auction
- eBay
  - First C2C marketplace
  - 1 million+ auctions/day

Customer Disruption: E-Branding

Priceline.com Brand Extensions



Product Disruption: Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Product Substitution			
Recorded music	**LP records, tapes**	→	**CDs, MP3**
Journalism	**Newspaper, magazine, television, radio**	→	**Web site**

Product Digitization: Examples of Digitization Across Industries

Industry	Traditional Format		Digital Format
Service Substitution			
Banking	**Cash, check**	→	**Smart card, web banking and payment systems**
Photo-finishing	**Film to paper**	→	**Digital to paper, film to digital**

ATOMS to BITS

Price Disruption: Intelligent Agents

Consumer

Alibris

PriceSCAN

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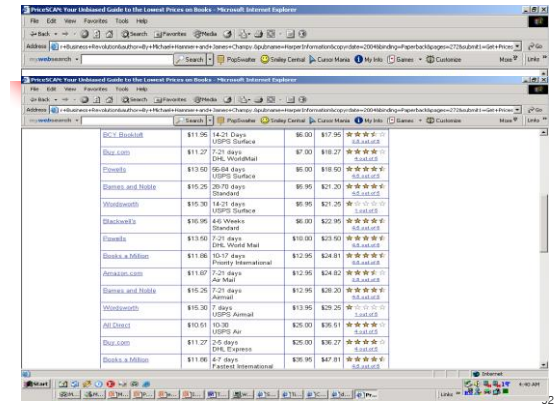

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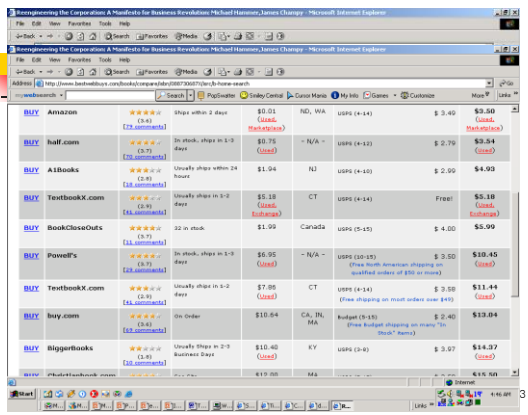

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New Pricing Models

Accompany's Buy-Cycle

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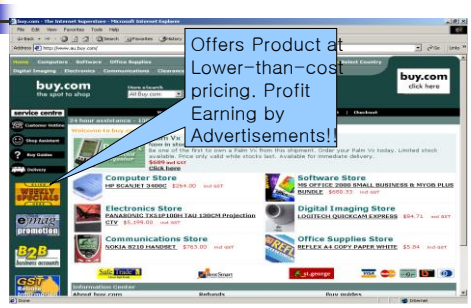
Destroying pricing models



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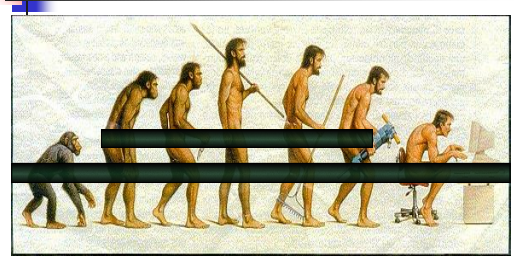
Evolution!



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